FROM THE EDITOR-IN-CHIEF

Two men whose actions directly impact the lives of nearly two billion people. With that baseline, Prime Minister Narendra Modi and US president Donald Trump could have been in the elite shortlist for Newsmaker of the Year 2025 individually. Why choose them as a double bill? Because, as 2025 rolled past all its twists and forks, on some of which their paths crossed, the duo played out an intense diplomatic duel. Modi conducted it deftly, keeping ties equable if tense—not adversarial, but not quite a bromance either. More fascinating was how Modi turned it into an occasion to create space for a pivot to his policy persona.

Having won a historic third term in 2024, albeit with a reduced mandate, Modi was perfectly positioned to play this moment adroitly. He had begun soldering his base with massive electoral wins in Haryana and Maharashtra in 2024. As 2025 dawned, he firmed it up with Delhi, then sealed the dominance of the Bharatiya Janata Party (BJP) beyond all doubt with a landslide win in Bihar.



▲ Jan. 6, 2025

Crucially, Modi used the renewed mandate to turn boldly towards economic reform. Budget 2025 eased personal income tax brackets, leaving more money in the hands of the common Indian. In September, he cleared the cobwebs around indirect taxes by launching GST 2.0, rationalising slabs wholesale, enabling goods to become cheaper. Together, they created a consumption spike, marking a shift from chasing supply side economics to demand-led growth. GDP growth for Q2FY26 showed an upsurge of 8.2 per cent, even before the true impact of the GST reform was felt. India was signalling its momentum and durability as the world's fastest growing major economy.

That macro narrative gained much internal sinew in 2025. The new Labour Codes, though subject to improvement, were the showpiece in a series of moves to enhance ease of doing business: 7,000 compliances cut, 288 minor offences decriminalised, and a deregulation committee set up to further trim red tape. Big-bang reforms continued in December, with insurance opened to 100 per cent foreign direct investment. In December, the SHANTI Act paved the way for ending state monopoly on nuclear power, opening it entirely to private players. It also made the civil liability clause friendlier to foreign investors, especially American ones. This initiative followed a commitment in Budget 2025 as a bargaining chip ahead of the Modi-Trump bilateral meeting in Washington DC in February, weeks after the US president began his second term.

Initially, the two leaders renewed their bonhomie. India was among the first to negotiate a trade deal with the US, intending to sign it by the Fall of 2025. Trump, though, proved short on patience and big on brinkmanship. On April 2, his tariff shock saw India hit with a 25 per cent rate, set to come into effect from August 1. While the rest of the world keeled over to strike deals with Trump, India appeared as an unyielding outlier. Relations turned frostier in the summer, with the Pahalgam attack and India's retaliatory strikes on Pakistan. The Modi-Trump tango, already complex, hit a wobble here. Trump repeatedly and heedlessly claimed credit for stopping the conflict; Modi insisted Pakistan had capitulated.

Relations went further south when Trump hectored India on its oil purchases from Russia, accusing it of bankrolling the Ukraine invasion. On August 1, he imposed an additional 25 per cent tariff on India, the combined 50 per cent putting India in the same bracket as Brazil. Its trade with the US amounting to 2 per cent of GDP, this could have been a serious setback to growth. But Modi played a deft hand in response. Neither supplicating nor vengeful, he chose innovations. Exporters were guided towards fresh pastures, with India signing a series of free trade pacts, including with the UK, Oman and New Zealand.

Modi also leveraged the Shanghai Cooperation Organisation summit in Tianjin, China. Standing alongside BRICS partners Xi Jinping and Vladimir Putin, India signalled to Trump that it was more a powerful rook than a pawn. By year-end, the US president was still holding out on a trade deal, though negotiators on both sides said they had finalised it. Together, Modi and Trump dominated India's domestic and foreign policy discourse over the year, making them a worthy choice as our Newsmakers of the Year 2025.

We also feature eight other Newsmakers. In a busy year, Union home minister Amit Shah brought the decades-old Maoist insurgency close to its demise. RSS sarsanghchalak Mohan Bhagwat became a figure of quiet authority, nudging the BJP towards a political reset. Bihar's Nitish Kumar underlined his centrality in India's polity with a historic 10th term. Chief Election Commissioner Gyanesh Kumar's Special Intensive Revision of voter rolls stays in focus with a clutch of upcoming assembly polls. With Operation Sindoor, India drew new lines of control over its security. Aviation saw a couple of traumatic crash landings: Air India's tragic Flight 171, and IndiGo's reputation. Redemption came from elsewhere, from the World Cup-winning women's cricket team and astronaut Shubhanshu Shukla, who reminded us that ambitions still lift nations.

Best wishes for a Rising India and a Peaceful World in 2026.

(Aroon Purie)